PRA Glossary - L

Source: https://www.prarulebook.co.uk/glossary?Date=03-03-2026
Effective Date: 03-03-2026
Type: Glossary
Scraped: 2026-03-02 21:41

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large firm

means:(1) afirmwith aPart 4A permissionto:(a)effect contracts of insurance; or(b)carry out contracts of insurance;(2) theSociety; or(3) amanaging agentin respect of which:(a) the amount of thefirm'sgross written premiumsexceeds £1 billion in eachannual report and accountsprepared by thefirmfor each of the previous threefinancial years; or(b) the amount of thefirm'sassets relating to allregulated activitiescarried on by thefirmexceeds £10 billion in eachannual report and accountsprepared by thefirmfor each of the previous threefinancial years;and:(i) where thefirmhas not producedannual report and accountsfor threefinancial years, the amounts in (a) and (b) are the amounts reported by thefirmin thoseannual report and accountsthat have been published by thefirm; and(ii) where thefirmis athird country branch undertaking, the amounts in (a) and (b) are only those amounts relating to the operations effected by thethird country branch.

large non-directive insurer

means anon-directive insurerin respect of which the value of assets relating to allregulated activitiescarried on by thefirmas included in its two most recent reported annual accounts is more than £25,000,000.

leverage ratio

has the meaning given inArticle 429(2)ofChapter 3of theLeverage Ratio (CRR) Part.

liabilities to policyholders

means (in relation to afirmcarrying out contracts of insurance) any liability or obligations of thatfirmto, or in respect of, apolicyholder.

liability of ships

means the class ofcontract of insurance, specified in paragraph 12 of Part I of Schedule 1 to theRegulated Activities Order.

life revision risk

means the risk of loss, or of adverse change, in the value of insurance obligations, resulting from changes in the level, trend or volatility of the revision rates applied to annuities, due to changes in the legal environment or in the state of health of thepersoninsured.

line of business

means a line of business as set out inAnnex 1 to the Technical Provisions - Further Requirements Part.

linked benefit

means a benefit payable under alinked long-termcontract of insuranceor aregulated collective investment schemethe amount of which is determined by reference to:(1) the value of the property of any description (whether specified or not);(2) fluctuations in the value of any such property;(3) income from such property; or(4) fluctuations in an index of the value of such property.

linked long-term

means (in relation to acontract of insurance) acontract of long-term insurancewhere the benefits are wholly or partly to be determined by reference to the value of, or the income from, property of any description (whether or not specified in the contract) or by reference to fluctuations in, or in an index of, the value of property of any description (whether or not so specified).

linked long-term liabilities

means the insurance obligations in respect oflinked benefitsunder alinked long-termcontract of insurance.

listed

The changes to this defined term are effective from 23:00 on 31/12/2020.means:(1) included in theofficial list; or(2) in respect of which facilities fordealingon aregulated markethave been granted.

listed activities

means an activity listed in Annex 1 to theCRD.

Lloyd's trust deed

means a trust deed in the form prescribed by theSocietyand notified to thePRA, for execution by amemberin respect of hisinsurance business.

Lloyd's trust fund

means a fund held on the terms of aLloyd's trust deed.

long-term care insurance contract

along-term insurance contract:(a) which provides, would provide at thepolicyholder'soption, or is sold or held out as providing, benefits that are payable or provided if thepolicyholder'shealth deteriorates to the extent that he cannot live independently without assistance and that is not expected to change; and(b) under which the benefits are capable of being paid for periodically for all or part of the period that thepolicyholdercannot live without assistance;where 'benefits' are services, accommodation or goods necessary or desirable for the continuing care of thepolicyholderbecause he cannot live independently without assistance.

long-term insurance and reinsurance obligations

means insurance andreinsuranceobligations falling withinlines of business29 to 36.

long-term insurance assets

has the meaning set out inInsurance Company - Internal Contagion Risk 4.2.

long-term insurance business

the business ofeffecting contracts of insuranceorcarrying out contracts of insurancein each case in relation tocontracts of long-term insuranceonly.

long-term insurance business asset

in relation to afriendly society, means the assets of afirmwhich are, for the time being, identified as representing thelong-term insurance businessfund or funds maintained by thatfirmin respect of itslong-term insurance business.

long-term insurance capital requirement

means the amount determined in accordance withInsurance Company - Capital Resources Requirement 14.1, being the sum of theinsurance death risk capital component, theinsurance health risk and life protection reinsurance capital component, theinsurance expense risk capital component, theinsurance market risk capital componentand theresilience capital requirement.

long-term insurance contract

means a "contract of long-term insurance" as defined in Article 3(1) of theRegulated Activities Order.

long-term insurance fund

has the meaning set out inInsurance Company - Internal Contagion Risk 4.3.

long-term insurance liabilities

means liabilities arising fromlong-term insurance business.

long-term insurance obligations

means insurance obligations falling withinlines of business29 to 34.

long-term insurance or reinsurance obligations

means insurance orreinsuranceobligations falling withinlines of business29 to 36.

long-term insurer

means aninsurerwithpermissiontoeffect contracts of insuranceorcarry out contracts of insurancethat arecontracts of long-term insurance.

longevity risk

means the risk of loss, or of adverse change, in the value of insurance obligations, resulting from changes in the level, trend or volatility of mortality rates, where a decrease in the mortality rate leads to an increase in the value of insurance obligations.

look-through approach

means the approach to calculating theSCRdescribed inSolvency Capital Requirement - Standard Formula 2.3(1).

LREQ basis

means, in respect of anLREQ firm, the basis or bases of application on which theLeverage Ratio - Capital Requirements and Buffers Partapplies to thatLREQ firm.

LREQ firm

means afirmorCRR consolidation entityto which theLeverage Ratio - Capital Requirements and Buffers Partapplies in accordance withrule 1.1of that Part.